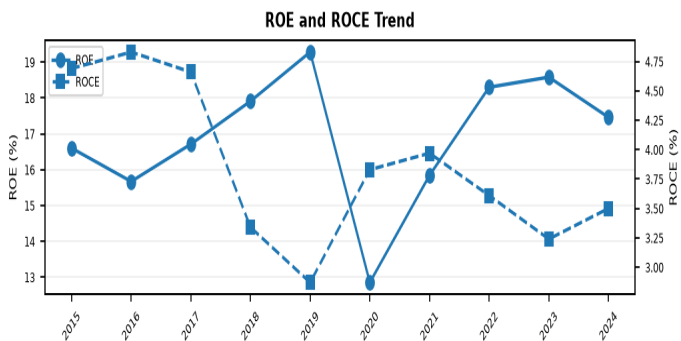
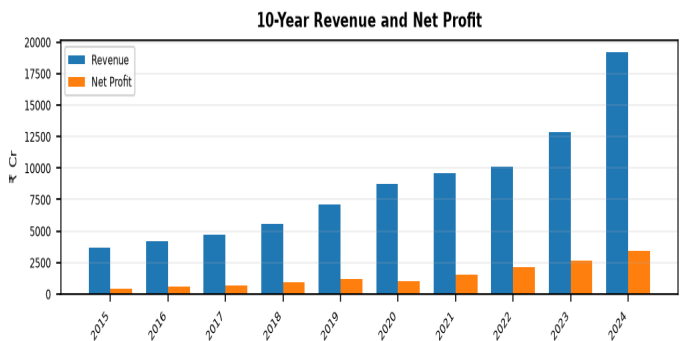


Cholamandalam Investment & Finance Company Ltd

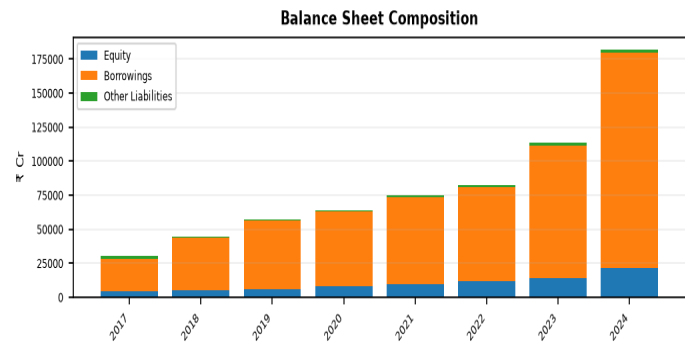
Nifty 100 Company Tearsheet | CHOLAFIN

Financials | Cholamandalam Investment & Finance Company is one of the premier diversified non-banking finance companies in India, engaged in providing vehicle finance, home loans and Loan against property.[1]

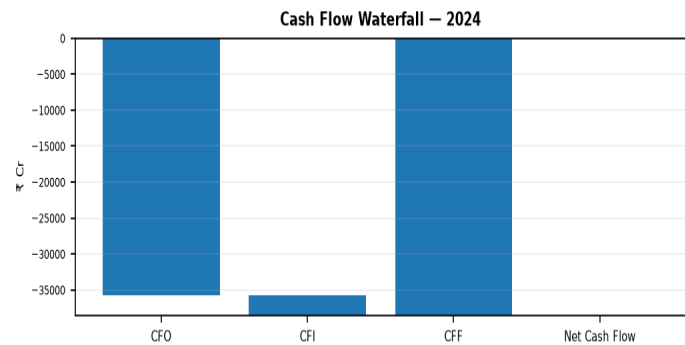
ROE	ROCE	Debt / Equity
17.5%	3.5%	6.86
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
21.9%	23.4%	■ -38,538 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION: Growth Funded by Debt